



Tenant Purchase Scheme (TPS) Guide

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What is the Tenant Purchase Scheme (TPS)?

The **Tenant Purchase Scheme (TPS)** is a home ownership plan where the tenant pays an **initial deposit** and then makes **regular payments** over a fixed period. These payments are structured similarly to rent but contribute toward **ownership** of the property. Ownership of the property is transferred to the tenant at the **end of the payment period**.

Key Features of TPS

Feature	Details
Deposit	5% of purchase price
Tenure	Up to 30 years
Interest Rate	Tiered based on income segment (3%, 6%, or 9%)
Payment Structure	Monthly installments similar to rent
Ownership	Transferred at the end of the payment period

TPS Interest Rates by Category

 **Social Housing**
Up to KES 19,999/month
3%

 **Affordable Housing**
KES 20,000 – 149,999/month
6%

 **Market-Rate Housing**
Above KES 150,000/month
9%

How TPS Works

Step-by-Step Process

1

 **Register**

Register on **Boma Yangu** (www.bomayangu.go.ke or *832#)

2

 **Select a Home**

Browse available projects and select a unit

3

 **Pay Deposit**

Pay **5% deposit** to reserve the home

4

 **Move In**

Move into the **completed unit**

5

 **Make Monthly Payments**

Pay affordable monthly installments (similar to rent)

6

 **Ownership Transfer**

Title deed transferred at end of payment period

TPS Administrators

Administrator	Role
KCB	TPS administration and rent collection
Sidian Bank	TPS administration and rent collection
Housing Finance Company	TPS administration and rent collection
SACCOs	Help in selling properties across project sites

 KCB

 Sidian Bank

 Housing Finance Company

 SACCOs

Example Monthly Payments

Social Housing (3% Interest)

Unit Type	Price (KES)	Monthly Payment (KES)
Studio	640,000	3,900
1-Bedroom	960,000	5,350
2-Bedroom	1,280,000	6,800

Affordable Housing (6% Interest)

Unit Type	Price (KES)	Monthly Payment (KES)
Studio	1,000,000	7,250
2-Bedroom	2,000,000	14,450

Benefits of TPS

 **Low Entry Barrier**

Only **5% deposit** required

 Affordable Repayments

Monthly payments start as low as **KES 3,900**

 Reducing Balance

Interest charged only on what you **still owe**

 Rent-to-Own

Monthly payments similar to rent but **build equity**

 Long Tenure

Up to **30 years** to complete payments

Who Qualifies for TPS?

Category	Requirement
Social Housing	Monthly income up to KES 19,999
Affordable Housing	Monthly income KES 20,000 – 149,999
Market-Rate Housing	Monthly income KES 150,000 and above

 Quick Summary – TPS at a Glance

Deposit: 5% | **Tenure:** Up to 30 years | **Interest:** 3% (Social), 6% (Affordable), 9% (Market)

Monthly Payments: Start from KES 3,900 | **Administrators:** KCB, Sidian Bank, Housing Finance, SACCOs

 Key Takeaway

TPS is a **rent-to-own** scheme that allows you to move into a home with just **5% deposit** and pay affordable monthly installments over up to **30 years**. At the end of the payment period, the **title deed** is transferred to you.

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Prepared by the State Department for Housing and Urban Development, Kenya

For more information, visit the **Boma Yangu** portal.